



**BHAGWAN
MAHAVIR
UNIVERSITY**



A
Study
on

**“INFLUENCE OF RETAIL ATTENTION ON FINANCIAL
MARKETS”**

A Project Submitted to

Bhagwan Mahavir College of Commerce & Management Studies

In partial fulfillment of the requirement

For the award of Degree of

Bachelor of Management Studies

In

International Business

SUBMITTED BY:

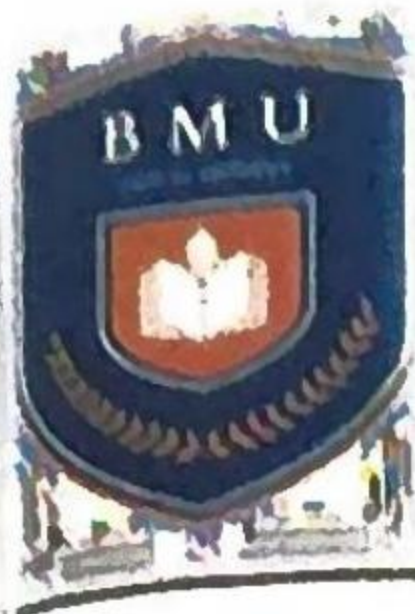
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UNDER THE GUIDANCE

Ms. Juli Savaliya

BHAGWAN MAHAVIR UNIVERSITY, SURAT

YEAR: 2025-2026



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CERTIFICATE

This is to certify that following Mr./Miss. Nivanga Dalal a student of TYBMS
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report on Ms. Juli Savaliya under my guidance and
supervision. His/ Her winter project work has been found satisfactory. I wish him/ her future
endeavors.

Date: 21/4/ 2026

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21-04-2026

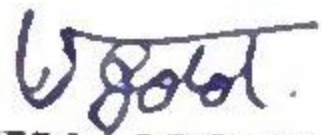
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DECLARATION

I, **VIVANG DALAL**, student of Bhagwan Mahavir College of Commerce & Management Studies - Surat, hereby declare that the project report has been undertaken as a part of 6th Semester of Bachelor of Management Studies (BMS) syllabus of **BHAGWAN MAHAVIR UNIVERSITY**, Surat. I declare that this report has not been submitted to any other university or institute for any other purpose.

Date: 28/04/26

Place: Bhagwan Mahavir College of Commerce & Management Studies


VIVANG DALAL

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Undertaking the research for my Bachelor of Management Studies (BMS) degree has been a collaborative effort, and I am deeply grateful for the support of numerous individuals. Firstly, I am thankful to God for granting me the wisdom and confidence necessary to accomplish this endeavor. It is through the contributions of these individuals that my passion and interest have been transformed into a robust body of knowledge, forged through rigorous empirical work and scientific analysis. I extend my heartfelt appreciation to Dr. Cheta Desai, I/c Director of Bhagwan Mahavir College of Commerce & Management Studies - Surat, for providing me with the opportunity to undertake this project. I am also indebted to my internal guide, Ms. Juli Savaliya whose unwavering assistance at every stage of this project has been instrumental in its completion. Finally, I extend my gratitude to all those who have supported me directly or indirectly throughout the duration of this project.

ABSTRACT

The Indian financial ecosystem is characterized by a structural delay in liquidity reporting, relying heavily on lagging indicators such as the monthly capital flow data published by the Association of Mutual Funds in India (AMFI). This information latency leaves market participants reacting to historical data rather than anticipating future liquidity. This study addresses this systemic gap by investigating the predictive capability of high frequency digital behavioural intent specifically the Google Search Volume Index (GSVI) for the keyword "SIP" (Systematic Investment Plan) as a leading macroeconomic indicator of physical capital deployment in the Indian equity market.

Adopting an Explanatory Quantitative Research Design, the study utilizes a longitudinal time-series dataset spanning 155 continuous months. To ensure econometric rigor, the framework employs the Augmented Dickey Fuller (ADF) test for stationarity and utilizes Akaike and Bayesian Information Criteria (AIC/BIC) to determine the exact administrative lag of the banking system. A Vector Autoregression (VAR) model is engineered to map the multi directional transmission mechanism between digital search intent, physical AMFI equity inflows, and the broader market performance measured by the NIFTY 50 index.

The empirical findings strictly reject the null hypotheses, utilizing Granger Causality to mathematically prove that digital attention actively precedes and drives subsequent physical capital deployment in India. The study identifies a definitive structural latency quantifying the specific Rupee value impact that a single point surge in digital intent generates within the ecosystem after a 30 day execution lag. To guarantee the isolation of genuine financial intent from generalized internet expansion, the model's validity is successfully stress tested using a non-financial placebo keyword ("Cricket"), which yielded zero predictive causality.

Ultimately, this research provides a definitive econometric proof that the digital footprint of the Indian retail investor is not random internet noise, but a quantifiable, high frequency leading indicator. The findings offer a transformative, real time framework for systemic risk monitoring, liquidity forecasting, and macroeconomic analysis within the Indian financial market.

Keywords: Vector Autoregression (VAR), Granger Causality, Behavioural Finance, Market Liquidity, Google Search Volume Index (GSVI), Indian Financial Market, Macroeconomic Indicators, Mutual Fund Inflows.

CONTENT OUTLINE OF THE PROJECT

Sr.No.	Chapter	Contents	Page. No.
1	Chapter 1	Introduction	01-10
	1.1	Introduction	
	1.2	The Evolution of the Indian Retail Investor	
	1.3	The Shift from Traditional Indicators to Digital Attention	
	1.4	Statement of the Problem	
	1.5	Objectives of the Study	
	1.7	Significance of the Research	
	1.8	Advantages & Disadvantages	
	1.9	Chaptalization Scheme	
2	Chapter 2	Review of Literature	11-17
3	Chapter 3	Research Methodology	18-41
	3.1	Research Design	
	3.2	Data Collection Methods	
	3.3	Hypothesis	
	3.4	Sampling Plan	
	3.5	Justification of Variables (Why GSVI_SIP and AMFI Flows)	
	3.6	Statistical Analysis/Tools	
		3.6.1 Statistical Framework 1: Descriptive Statistics and Asymmetric Behavior	
		3.6.2 Statistical Framework 2: Stationarity and the Augmented Dickey Fuller (ADF) Test	
		3.6.3 Statistical Framework 3: Information Criteria and Lag Length Selection	
		3.6.4 Statistical Framework 4: The Vector Autoregression (VAR) Engine	
		3.6.5 Statistical Framework 5: Granger Causality and Directional Proof	
		3.6.6 Statistical Framework 6: The Placebo Robustness Check	

4	Chapter 4	Data analysis and Interpretation	42-50
	4.1	Descriptive Statistics and Distribution Analysis	
	4.2	Stationarity and Unit Root Testing	
	4.3	Optimal Lag Length Selection	
	4.4	The Vector Autoregression (VAR) Analysis	
	4.5	The Directional Proof: Granger Causality	
	4.6	Robustness Check (The Placebo Test)	
5	Chapter 5	Research Findings	51-57
	5.1	Findings from Analysis	
	5.2	Conclusion	
	5.3	Suggetion	
	5.4	Limitations of the Study and Avenues for Future Research	
	5.5	Summary of Major Findings	
6		Bibliography	58
7		Appendices	59